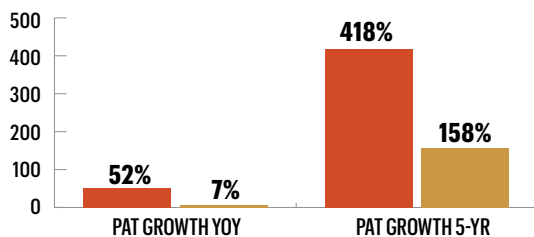


TITAN'S OUTPERFORMANCE

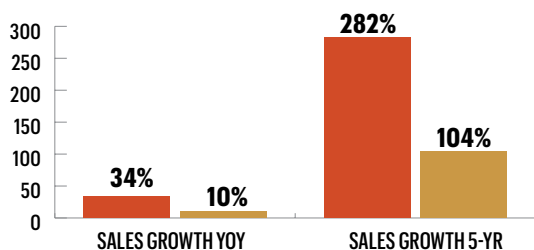
• Both PAT and sales have grown much faster than the broader market

PAT



■ TITAN COMPANY LTD. ■ SENSEX EX TITAN

GROSS SALES



■ TITAN COMPANY LTD. ■ SENSEX EX TITAN

SOURCE ACE EQUITY

moved to what looked interesting—women's handbags. "Every woman carries one regardless of social strata. Bags are flaunted."

The opportunity was compelling. A fragmented market with potential for growth played right into Titan's established playbook. Fastrack was already in small handbags and understood the supply chain. This led to women's handbags brand Irth. Most of it is sold through e-commerce, Fastrack stores and department stores. A large chunk Fastrack's offerings are between ₹600 and ₹2,500. "Irth's play is ₹2,500 to around ₹8,000," says Gupta. In accessories, a well-established brand lends itself to being scaled up. Gupta speaks of how Skinn Nox was launched at ₹4,000 and Oud at ₹5,000. "The product road map is beautifully designed for the next two years at least."

THE CORE

Thirty years after Tanishq opened its first outlet (in Chennai in 1996), jewellery is a major chunk of the business for Titan. One of the reasons for its success is a realisation that jewellery is more about culture than just fashion. Like watches, Titan transformed the category, characterised by unorganised players, by bringing in more transparent processes and scaling up.

Arun Narayan, CEO (Jewellery Division), says the category is moving towards a clear differentiation. "Zoya, Mia, CaratLane cater to different user segments. Beyon (a laboratory-grown diamond jewellery offering launched late last year) adds to the portfolio. The category is just 10-12% of the market," he says.

In spite of the leadership in jewellery, Narayan says there is no question of behaving like an established player. "The brand has always been a challenger and operates in the category with that mindset," he says. The 48% surge in jewellery revenue in FY26 was helped by a rise in gold prices. "Nobody expected it to be so dramatic," he says. At the same time, this is still an industry where demand remains resilient even in the face of high inflation.

The pandemic too led to a change in mindset. "Not just in India, but in other markets like China as well, youngsters moved to gold. We need to continue making it exciting for them," says Narayan.

The overseas foray has been a part of Tanishq's story for a while. It has ten stores in the US, around 25 in West Asia and one in Singapore. The purchase of Dubai-based Damas LLC last July has strengthened the company in the region. "Damas will target its own set of customers, who are Arabs and Europeans, while Tanishq's core (base) is Indians and south Asians," he says.

In 2016, Titan acquired a 62% stake in jewellery retailer CaratLane, followed by another 23% eight years later. "It gave us the omnichannel part, which we have now plugged into Tanishq and Mia."

The domestic jewellery market, says Menon, should continue to compound. "But the key new driver is international, across regions. Overall growth should be driven by a better mix (premium, studded), strong execution and gradual global expansion." In India, Tanishq managed to get it right in historically difficult markets like Tamil Nadu and West Bengal, where regional brands rule the roost. It made the brand more local by onboarding local celebrities and adapting to cultural nuances.

Narayan says conversations with today's consumer are about "what's new" as opposed to what is today's